
PAPERBOY

SATURDAY, AUGUST 29, 2026

Kevin Warsh used a symposium about payments to give an inflation speech, told markets he is done with forward guidance, and left a September rate rise on the table.

AI

Nvidia reported to be buying Hugging Face for \$12.9bn — one outlet, no confirmation

WHAT HAPPENED

[The Information](#) reported on 27 August that Nvidia has agreed to acquire Hugging Face, the platform where most open-weight AI models are hosted and downloaded, at a valuation of about \$12.9bn. Everything else in circulation is downstream of that single scoop — [Forbes](#) and others aggregate it, and the round “\$13 billion” figure now being repeated is a rounding of \$12.9bn rather than a separately sourced number. Neither company has said anything on the record: [nvidianews.nvidia.com](#) carries no announcement and [huggingface.co/blog](#) is silent. We report it as unconfirmed.

WHAT IT MEANS

If it is real, the company that sells the compute would also own the shelf the models sit on — the discovery and distribution layer for open weights. That is a different kind of position from selling GPUs, and it is the kind of vertical reach that attracts antitrust attention rather than deflecting it.

WATCH NEXT

An on-record statement from either side, or an HSR premerger filing. Until one appears, treat the price as a report, not a fact.

The Anthropic ruling was a final judgment, not a preliminary one

WHAT HAPPENED

A correction to yesterday's brief, and it matters. Judge Rita Lin's 28 August ruling against the Pentagon's "supply-chain risk" designation of Anthropic came on cross-motions for summary judgment and vacates the designation outright — a 59-page final order, not a preliminary injunction. [NPR](#) and [Axios](#) independently give the page count and quote Lin finding the penalties "based on a desire to make a public example out of Anthropic for its 'arrogance' in criticizing the government, not based on any articulable basis to believe that Anthropic would actually sabotage its model." No notice of appeal had been filed as of Friday and the Pentagon declined to comment. A separate, narrower Anthropic case remains pending in the DC Circuit.

WHAT IT MEANS

Vacatur is final relief under the Administrative Procedure Act: the designation is gone, not paused. That flips the burden — the government now has to win an appeal or rebuild the designation on a defensible record, rather than simply waiting out an injunction.

WATCH NEXT

A Ninth Circuit notice of appeal — the government generally has 60 days — and whether any other vendor cites Lin's reasoning against a designation of its own.

SEMICONDUCTORS

Nothing moved. No new memory contract prices, no allocation announcements from Micron, SK hynix or Samsung, and no export-control action dated Friday or Saturday — several plausible-looking stories checked out to earlier in the week and were dropped. Dell reports fiscal Q2 on 1 September, and September DRAM contract settlements are the next real read on whether Nvidia's supply-capped guidance and HP's units-down, prices-up quarter are two views of the same shortage.

Warsh tells Jackson Hole the job is prices, and buries forward guidance

WHAT HAPPENED

At a symposium billed as being about payments, Warsh gave an inflation speech. Titled [“In Our Time”](#), it opened on the target — “Inflation is running above our 2 percent target. So the Fed’s predominant focus right now should be on prices” — then produced the number that did the damage: “The Fed’s preferred measure of inflation, the 12-month change in the PCE price index, stands at 3.7 percent, while the six-month change is 4.1 percent.” The shorter window is running hotter than the longer one. He also retired a practice, saying forward guidance had “overstayed its welcome” because “oversharing policy deliberations and overcommitting to future decisions can lead markets, businesses, and households astray.” And, unusually for a sitting chair: “The responsibility for 65 months of sustained, elevated inflation sits squarely with the central bank.” He did not mention the September meeting and gave no rate-path guidance at all.

WHAT IT MEANS

The six-month rate running above the twelve-month says disinflation has stopped, not slowed. Pair that with a chair who declines on principle to say what he will do next, and a September rise stops being a tail risk and becomes a position markets have to hold. The guidance point is the structural change: fewer signals, more meeting-by-meeting risk.

WATCH NEXT

The September FOMC meeting and the next PCE print. Warsh has told you he will not pre-announce either way.

Markets repriced the same afternoon

WHAT HAPPENED

Friday closed lower and, more tellingly, steeper. The S&P 500 finished at [7,711.76](#), [down 0.25%](#), the Nasdaq Composite at 26,402.42, down 0.52%, the Dow essentially flat at 53,559.99. The Russell 2000 took the real hit, off about 1.4% to roughly 2,974 — the exact print was still unsettled across sources at the time of writing. In rates, the [Treasury's own curve](#) puts the 10-year at 4.73% from 4.67% and the 2-year at 4.34% from 4.20% — a 14 basis point move (0.14 of a percentage point) at the short end. Gold fell 3.43% to \$4,504.10; WTI barely moved, near \$83.40. On the odds of a September rise, sources disagree: [PBS NewsHour](#) put the shift at roughly a third before the speech to about 60% after, while others read futures nearer 38%. The direction is agreed; the number is not.

WHAT IT MEANS

The short end moving three times as far as the long end is a policy repricing, not a growth scare — markets marked up the near-term path, not down the economy. The small-cap drop and the gold slide are the same trade twice over: higher-for-longer punishes the most rate-sensitive equities and the asset that pays no coupon.

WATCH NEXT

Whether these odds survive the week, and the next inflation print. A 3.4% one-day fall in gold is a position unwinding, not a view settling.

Jackson Hole's other argument: stablecoins versus tokenised deposits

WHAT HAPPENED

Under the payments banner, two of the most senior central bankers in the world converged on the same answer. Isabel Schnabel of the ECB, discussing Darrell Duffie's paper in remarks titled "[Central banks on-chain](#)", argued that "stablecoins are best understood as complements to central bank money, not substitutes for it", and that markets "can only scale safely if transactions settle in a risk-free asset that can be supplied elastically". Pablo Hernández de Cos, general manager of the BIS, went further in "[Pushing the monetary frontier](#)": "In their current form, stablecoins do not yet uphold the foundational properties of money", and "tokenised deposits offer a more direct path to harness tokenisation while preserving the monetary system's foundations." It is the first time in the symposium's history that crypto has been an explicit agenda item.

WHAT IT MEANS

The official sector picking a lane in public: tokenise the money that already exists inside the banking system rather than let privately issued tokens become the thing trades settle in. Groundwork for rules that favour banks over stablecoin issuers.

WATCH NEXT

The ECB's digital euro timetable, and whether BIS project work starts naming tokenised-deposit pilots.

Three deals nobody will confirm

WHAT HAPPENED

August's biggest venture stories are all resting on one outlet each, and none of them moved on Friday. SoftBank's reported talks to take a majority stake in the humanoid maker 1X at a ~\$6bn valuation still trace only to The Information's 27 August report — no SoftBank investor-relations release, no 1X statement.

Anthropic's IPO is in the same position: the company [confirmed on 1 June](#) only that it had confidentially submitted a draft S-1, and the claim it would go public "near the end of August" comes from a single aggregator. A direct check of [EDGAR](#) on Saturday found no public S-1 — the only Anthropic-named filing is an unrelated Form D for a fund vehicle. Nvidia-Hugging Face sits in the same category, and Oura has produced nothing new since the confidential-filing chatter of 24 August.

WHAT IT MEANS

Four of the largest reported transactions in AI and robotics this month exist entirely as journalism. That is not a reason to disbelieve them — The Information's hit rate is good — but it is a reason not to act on the prices, which are the part single-sourced reports most often get wrong.

WATCH NEXT

EDGAR for a public S-1 from Anthropic or Oura, and SoftBank's IR page for 1X. Any of the three would settle its story in a line.

Administration appeals the mail-voting order to the First Circuit

WHAT HAPPENED

First, a correction to our own record: Judge Indira Talwani's 14-day temporary restraining order came down on Thursday 27 August, not Friday. What happened on Friday was the appeal. The administration filed a notice of appeal to the First Circuit, with the White House — institutionally, no spokesperson named on the wire — calling the order “unreasoned and unlawful” and the underlying USPS rule “commonsense measures”. The order covers the consolidated *League of Women Voters v. Trump* and *California v. USPS*, No. 1:26-cv-13917 (D. Mass.), and blocks three things: handover of state voter lists, unique ballot-envelope barcodes, and USPS authority to refuse non-compliant ballots. Talwani wrote that “the court is unaware of, and no party has proffered, any delegation Congress has made that would permit the USPS to regulate election mail.” The combined preliminary-injunction hearing is [set for 3 September](#). North Carolina begins mailing absentee ballots on [Friday 4 September](#). No emergency application to the Supreme Court has been filed.

WHAT IT MEANS

The calendar is now the case. A 14-day TRO, a preliminary-injunction hearing on the 3rd and the first real ballots going out on the 4th leaves exactly one day of slack. Appealing a TRO is unusual and mostly buys position — the live question is whether the administration goes to the Supreme Court before North Carolina starts mailing.

WATCH NEXT

The 3 September hearing, and any emergency application at the Supreme Court in the days before it.

Treasury designates a Bank Melli middleman — and still no Chinese bank

WHAT HAPPENED

Friday’s [OFAC action](#) named two targets: Reza Mohammad Taeedi, a Dubai-based Iranian national born 24 August 1975 and tied to Bank Melli Iran, designated [SDGT][IFSR]; and Kameng Trading Limited, a Hong Kong-registered trading company, business registration number 76846373, established 24 July 2024, designated under the Iran executive order 13902 authority. No mainland Chinese bank or financial institution appears, and nothing had been posted for Saturday. This follows Trump’s hint on Thursday that new sanctions could reach Chinese banks doing business with Iran, and it is now several weeks since Treasury secretary Bessent trailed action against a “major financial institution”.

WHAT IT MEANS

A Hong Kong trading shell and a procurement middleman is plumbing work — useful, routine, and not the escalation that has been briefed repeatedly since early August. The gap between the rhetoric and the actual designation list is now wide enough to be the story. The plausible constraint is diplomatic: Xi is due at the White House on 24 September.

WATCH NEXT

[ofac.treasury.gov/recent-actions](#) for a named bank. Nothing short of that is the promised move.

Nepal-Tibet flood toll nears 633, with about 2,480 still missing

WHAT HAPPENED

A glacier collapse into the Lende River on Wednesday 26 August set off catastrophic flash flooding across Nepal's Rasuwa, Nuwakot and Dhading districts and Gyirong county in Tibet. By Saturday the combined death toll had reached roughly 633 — 626 in Nepal, 7 in Tibet — with about 2,480 people listed as missing, 1,924 of them in Nepal, according to [Al Jazeera](#). A barrier lake formed by the debris overflowed on 28 August, forcing rescuers to stand down; both countries resumed operations on Saturday. These are official tallies from two governments and they are moving hourly.

WHAT IT MEANS

It is the deadliest disaster in the region this year and a cross-border one, which complicates the response — the same water hit two jurisdictions with different rescue capacities and different reporting practices. Missing counts at this scale usually resolve downward as displaced people are located; the confirmed death toll will keep rising.

WATCH NEXT

Whether the barrier lake holds — a second breach is the immediate risk — and how fast the missing figure and the death toll converge.

Guinea-Bissau votes on Sunday to strengthen the presidency

WHAT HAPPENED

The referendum on 30 August would shrink parliament from 102 seats to 65 and cut electoral constituencies from 29 to 12, create a Constitutional Court, and impose new hurdles on presidential candidates: five years' prior residency in the country, deposits of roughly \$90,000, and backing from a party with at least 5,000 members. The transitional president, General Horta Inta-A Na Man — in office since the coup of 26 November 2025 — and the transitional prime minister are both barred from the presidential and legislative elections set for 6 December. The PAIGC opposition has [called for a boycott](#), citing the military-led drafting process; supporters argue the changes would give clearer lines of authority after years of instability. One analysis piece puts the new chamber at 61 seats rather than 65 — an outlier against three separate counts.

WHAT IT MEANS

Read the candidate rules rather than the seat count. A five-year residency requirement and a \$90,000 deposit are filters, and they fall hardest on exiled and unfunded opponents. A yes carried on a boycotted turnout is a thin mandate to build a presidential system on.

WATCH NEXT

Turnout above all, then the margin, and whether the PAIGC contests the result or stays out of December.

Kyiv logs its worst day of air-raid alerts of the war

WHAT HAPPENED

Kyiv recorded 13 separate air-raid alerts on 27 August, the most in a single day since the full-scale invasion began and beating the previous record of 12 set on 1 March 2022. The alerts ran to 872 minutes — close to fifteen hours — with eight more by the morning of 28 August, according to the [Kyiv Independent](#). Ukraine says Russia launched 164 drones overnight and that 137 were shot down; at least one person was killed and four injured in Kyiv oblast, with damage to two schools and a residential building. Every figure here is Ukraine’s own account of an attack on itself and has not been independently verified. Ukraine’s foreign ministry said that “for regions closer to the front line, even longer alerts are an everyday reality”, but that what Kyiv experienced “shows another way Russia is using its weapons to disrupt civilian life.”

WHAT IT MEANS

The count matters more than the tonnage. Many small, dispersed waves each trigger a fresh alert, and the alert is the weapon — fifteen hours of sirens shuts a capital’s working day for the price of some cheap drones. Attrition aimed at the economy rather than the grid.

WATCH NEXT

Whether the pattern repeats through next week, and whether Ukraine changes its alert protocol to stop the tactic working.

SOURCES

Federal Reserve — Kevin Warsh, “In Our Time”, Jackson Hole, 28 August 2026

ECB — Isabel Schnabel, “Central banks on-chain”

BIS — Pablo Hernández de Cos, “Pushing the monetary frontier”

US Treasury — daily par yield curve, August 2026

Kansas City Fed — Jackson Hole symposium 2026 agenda

OFAC — recent actions, 28 August 2026

NC State Board of Elections — absentee voting begins 4 September

Votebeat — mail-voting litigation tracker

AP via KSAT — administration appeals mail-voting ruling

NPR — judge rules Pentagon’s Anthropic designation illegal

Axios — judge blocks Pentagon’s Anthropic blacklist

Forbes — Nvidia reportedly agrees to buy Hugging Face

Anthropic — confidential draft S-1 submitted to the SEC

Al Jazeera — Nepal and China resume flood rescue

Al Jazeera — Guinea-Bissau votes on a stronger presidency

Kyiv Independent — Kyiv records 13 air-raid alerts in a single day

Investing.com — US index and commodity historical data